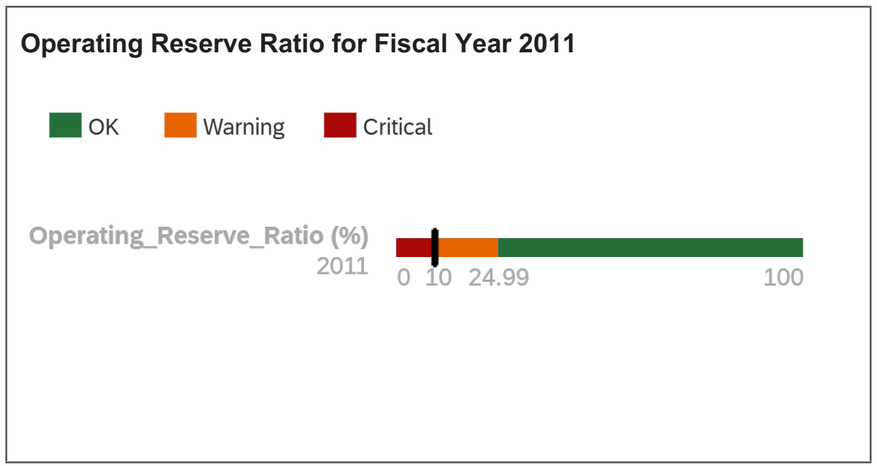
## Q7: Operating reserve ratio based on unrestricted net assets and operating expenses for 2011




**Financial Analysis:**

- The **Operating Reserve Ratio** is positioned in the **Warning** zone (10–24.99%), suggesting a moderate level of unrestricted, liquid reserves.
- While reserves are not critically low, they are **below the ideal threshold** of 25% or more.
- A **lower reserve ratio** may indicate **reduced financial flexibility** during unexpected expenses or revenue shortfalls.
- Maintaining a healthy reserve is **vital for financial stability** and **long-term sustainability**.

- Recommendation:
- Focus on **building unrestricted reserves** by increasing surplus margins wherever possible.